



Index Number:

NATIONAL CERTIFICATE OF EDUCATION

2025

BUSINESS AND ENTREPRENEURSHIP EDUCATION (N560)

**TOTAL TIME FOR
SECTION A AND SECTION B: 2 HOURS**

SECTION B: ACCOUNTING

Candidates answer on the Question Paper.
Additional Materials: Calculator and Ruler

INSTRUCTIONS TO CANDIDATES

This assessment consists of two sections:

Section A: Business / Enterprise / Economics and Section B: Accounting

You should ensure that you have received the booklets for both Section A and Section B.

Instructions for Section B

You are advised to spend **45 minutes** on Section B.

1. Write your index number in the space provided above.
2. Answer **ALL** questions.
3. Write in dark blue or black ink. Do not use correction fluid.
4. This section consists of **3** questions printed on **8** pages, numbered **2** to **9**.
5. The number of marks for each question is given in brackets ().
6. The total marks for Section B is **35**.

For Examiners' use					
Question No.	6	7	8	Total	Signature
Examiner					
Team Leader					
CE/ACE					

SECTION B – Accounting

Answer ALL questions (35 marks)

Question 6A (5 marks)

Circle the correct answer. Each item carries one mark.

- (a) Which of the following is an example of a **non-current asset**?
- A** Cash at bank
 - B** Cash in hand
 - C** Office furniture
 - D** Closing inventory
- (b) Each business transaction has to be recorded in account(s) in the ledger.
- A** one
 - B** two
 - C** three
 - D** four
- (c) For the calculation of Gross Profit, closing inventory is
- A** deducted from purchases
 - B** deducted from revenue
 - C** added to revenue
 - D** added to purchases

(d) Which formula is used to calculate the owner's equity?

- A** Capital + profit for the year – drawings
- B** Capital – profit for the year – drawings
- C** Total non-current assets + Total current assets
- D** Total non-current assets – Total current assets

(e) **Table 1** gives information from the books of a businessman.

Table 1

	Rs
Revenue	30 000
Cost of sales	17 000
Expenses	4 500
Commission received	300

What is the businessman's profit for the year (Net Profit)?

- A** Rs 13 000
- B** Rs 8 200
- C** Rs 8 800
- D** Rs 7 800

E

TL

CE

Question 6B (5 marks)

Match each **term** in **Column A** with a correct **statement** in **Column B**. Write your answers in the **answer grid** provided below.

An example is given.

Column A		Column B	
1	Capital	A	Borrowings or credits expected to be repaid after more than a year
2	Trade receivable	B	Payments made by a business for the day to day running of the business
3	Current liabilities	C	Items owned by an enterprise
4	Expenses	D	Cash or goods that the owner takes from his enterprise for his personal use
5	Assets	E	Amount of money invested by an entrepreneur to start his enterprise
6	Drawings	F	Borrowings or credits expected to be repaid within one year
		G	Amount owed by a credit customer

Answer grid

Term	1	2	3	4	5	6
Description / Definition	E					

Question 6C (4 marks)

Fill in the blanks by choosing the correct term in brackets.
An example is given.

Example: A ledger is a book which consists of different accounts.
(~~ledger~~, transaction)

- (a) A transaction is a business transaction that is paid at a later date. (**cash, credit**)
- (b) Gross Profit is the difference between and cost of sales. (**purchases, revenue**)
- (c) The amount of goods that enterprises usually hold at the start of the accounting year is known as the inventory. (**closing, opening**)
- (d) A statement which shows all assets, liabilities and owner's capital of an enterprise is referred to as the (**income statement, statement of financial position**)

Question 6D (4 marks)

For each transaction in the table below, state which account should be **debited** and which account should be **credited**.

The first transaction has been done for you.

Date 2025	Transaction	Account to be debited	Account to be credited
July 02	Bought furniture for Rs 10 000 by cash	Furniture	Cash
July 21	Withdrew cash Rs 7 500 for own use		
July 23	Bought goods from Chung & Sons on credit for Rs 35 500		

E

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Question 7 (7 marks)

Table 1 shows the transactions which occurred in a restaurant during the month of August 2025.

Table 1: Transactions for the month of August 2025

Date August 2025	Transactions	Amount (Rs)
1	Opening balances: Cash Account Bank Account (DR)	12 000 8 000
3	Purchased rice and meat from Corner Stores	8 700
13	Sold briani and received payment by cheque	22 000
15	Paid weekly wages by cash	7 000
16	Bought food containers and spices by cheque	2 250
21	Paid rent by cheque	7 550
30	Sold goods to Sahil	3 500

(a) **'Bank overdraft'** is an example of which type of liability?

.....

..... [1]

- (b) Using the relevant items from **Table 1**, prepare a Bank Account and a Sales (Revenue) Account. Balance off the Bank Account and bring down the balance on 1 September 2025.

Dr			Bank Account			Cr		
Date 2025	Details	Amount Rs	Date 2025	Details	Amount Rs			
August 1	Balance b/d	8 000	August					

[4]

Dr			Sales (Revenue) Account			Cr		
Date 2025	Details	Amount Rs	Date 2025	Details	Amount Rs			
August			August					

[2]

Question 8 (10 marks)

Bobby is an entrepreneur. He owns a small flower shop. He prepared a trial balance for his business as at 30 September 2025 as shown in **Table 2**.

The Trial Balance did not agree.

Table 2 : Trial Balance as at 30 September 2025

	Debit	Credit
	Rs	Rs
Revenue (Sales)		90 000
Capital	110 000	
Inventory 1 October 2024	8 500	
Bank loan	15 000	
Trade receivables		25 500
Premises		125 000
Purchases	42 250	
Trade payable	6 882	
Commission received	340	
Salaries	14 500	
Stationery	472	
Drawings		6000
Total	<u>197 944</u>	<u>246 500</u>

- (a) In **Table 3**, rewrite the Trial Balance correctly.

Table 3 : Trial Balance as at 30 September 2025

	Debit	Credit
	Rs	Rs
Revenue (Sales)		90 000
Capital		
Inventory 1 October 2024	8 500	
Bank loan		
Trade receivables		
Premises		
Purchases	42 250	
Trade payable		
Commission received		
Salaries		
Stationery	472	
Drawings		
Total		

[8]

- (b) Define the term 'Trial Balance'.

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..... [1]

- (c) Give one advantage of preparing a Trial Balance.

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..... [1]

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